

**BEFORE THE FEDERAL MARITIME COMMISSION**

INTERMODAL MOTOR CARRIERS CONFERENCE,  
AMERICAN TRUCKING ASSOCIATIONS, INC.

Complainant,

v.

OCEAN CARRIER EQUIPMENT MANAGEMENT  
ASSOCIATION, INC., CONSOLIDATED CHASSIS  
MANAGEMENT, LLC, CMA CGM S.A., COSCO  
SHIPPING LINES CO. LTD., EVERGREEN LINE  
JOINT SERVICE AGREEMENT, FMC NO. 011982,  
HAPAG-LLOYD AG, HMM CO. LTD., MAERSK  
A/S, MSC MEDITERRANEAN SHIPPING  
COMPANY S.A., OCEAN NETWORK EXPRESS  
PTE. LTD., WAN HAI LINES LTD., YANG MING  
MARINE TRANSPORT CORP., AND ZIM  
INTEGRATED SHIPPING SERVICES,

Respondents.

FMC Docket No. 20-14

**COMPLAINANT'S RESPONSE TO  
RESPONDENTS' MOTIONS FOR SUMMARY  
DECISION (CORRECTED PUBLIC VERSION)**

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Complainant Intermodal Motor Carriers Conference of the American Trucking Associations (“IMCC”) respectfully opposes the motions for summary decision filed by all Respondents and by Evergreen.

### **INTRODUCTION**

The core facts of this proceeding are not in dispute. Respondents do not challenge that they restrict chassis choice for merchant haulage (“MH”) movements and curtail chassis interoperability for all movements in exchange for short-term financial gain. Their own expert explains why: ocean carriers do so for “[REDACTED]”; and their actions “[REDACTED]” IMCC SUMF<sup>1</sup> ¶ 627. Nor do Respondents contest the effects of their unlawful conduct, including higher prices for MH chassis for motor carriers and their customers, and harms from the loss of interoperability such as greater wait times, fragmented stop/start locations, diminished efficiency, and increased chassis flip/split costs.

To avoid accountability for their Shipping Act violations, Respondents attempt to point the finger elsewhere: Nonparty intermodal equipment providers (“IEPs”) that impose MH chassis overcharges (albeit at the ocean carriers’ behest); nonparty NACPC, which wants to compete against other IEPs by offering lower prices to motor carriers and shippers while

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<sup>1</sup> In this brief, “IMCC SUMF” refers to Doc. 92, Statement of Undisputed Material Facts Supporting IMCC’s Motion for Summary Decision (Apr. 29, 2022). “IMCC Supp. SUMF” refers to the Supplemental Statement of Undisputed Material Facts in Support of this Opposition. “Respondents’ SUMF” refers to Doc. 95, Respondents’ Statement of Material Facts in Support of their Motion for Summary Decision (Apr. 29, 2022). “EVG SUMF” refers to Doc. 100, Evergreen’s separate Statement of Material Facts in Support of its Supplemental Motion for Summary Decision. Finally, “JSF” refers to Doc. No. 88, Joint Stipulation of Facts (Feb. 23, 2022).

supporting chassis choice;<sup>2</sup> and, amazingly, even at the motor carriers who must pass on some of the increased costs from Respondents' unlawful conduct.

But Respondents, as common carriers, cannot escape their Shipping Act obligations. As the undisputed material facts show, Respondents have violated those legal duties by restricting chassis choice in MH movements and fragmenting chassis supply by withdrawing from interoperable pools and entering single-provider pools. As a result, motor carriers and their customers must pay higher costs for MH chassis. And harms from non-interoperability radiate out into the supply chain, slowing the fluidity of container movements at terminals by creating unnecessary chokepoints and increasing terminal wait time. Respondents cannot avoid these violations by claiming reliance on contracts they willingly entered or association rules they collectively adopted.

Respondents also cannot avoid summary decision by recycling arguments about jurisdiction and joinder that the Presiding Officer has already rejected. Nothing has changed. Here there is no question that their regulations and practices that concern the cost and availability of chassis are “relating to or connected with receiving, handling, storing, [and] delivering property.” 46 U.S.C. 41102(c); *see also* 85 Fed. Reg. 29,638, 29,655 (May 18, 2020) (“It is undeniable that chassis availability impacts the ability of a shipper or a trucker to remove a

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<sup>2</sup> Respondents' focus on NACPC is not only irrelevant to this adjudication, but also disregards NACPC's status as a Surface Transportation Board-regulated entity. In approving NACPC's Pooling Application, the STB noted NACPC's purpose of contributing chassis to pools operated by CCM. After reviewing the NACPC agreement made part of the NACPC application, the STB concluded: “Moreover, the terms of the agreement appear to be just and reasonable. 49 U.S.C. § 14302(c)(2). The agreement outlines the members' plan to implement what appears to be an efficient chassis supply pooling model. The agreement provides for the admission of additional members and describes the procedure for the management of contributions, capital accounts, allocations, and distributions.” IMCC Supp. SUMF ¶ 1 (citing STB Order at 4). The STB further determined to retain jurisdiction over NACPC. IMCC SUMF ¶ 41.

container from a port”). Respondents further argue that, after intensive and extended discovery, the case should be dismissed for failing to join the IEPs as necessary parties. But the IEPs are not having their rights adjudicated without any participation—in fact, they submitted declarations **for this very motion**. Respondents’ SUMF APP0398-0403. Regardless, the Presiding Officer can tailor complete relief at the Initial Decision stage to allow ocean carriers to renegotiate contracts with IEPs consistent with the Shipping Act. *“50 Mile Container Rules” Implementation by Ocean Common Carriers Serving U.S. Atl. and Gulf Coast Ports*, Dkt. No. 81-11, 1987 WL 209053, at \*4 (Aug. 3, 1987) (giving ocean carriers “a reasonable amount of time to conform their [contracts] with the requirements of the shipping laws”), *aff’d*, *New York Shipping Ass’n, Inc. v. FMC*, 854 F.2d 1338 (D.C. Cir. 1988).

Finally, Evergreen’s separate motion contending that it has a different “business model” must also be rejected. Evergreen does not deny that it restricts motor carriers from exercising MH chassis choice, allowing it to extract overcharges from motor carriers in the form of per diems, and shippers in the form of Chassis Usage Charges (“CUCs”). As a result, the only salient difference is that instead of splitting the financial gains with IEPs, Evergreen keeps them for itself. Nor does Evergreen even attempt to address its participation in the Pool of Pools (“POP”), despite the restrictions on MH chassis choice, or its contracts restricting interoperability.

Thus, Respondents cannot avoid the facts, which are damning and undisputed. Nor can they evade the law, which authorizes the Commission to remedy their harms to the shipping public. Their motions must be denied.

### **LEGAL STANDARDS**

To prevail on this motion, Respondents must demonstrate that “there is no genuine issue of material fact and [they are] entitled to judgment as a matter of law.” *EuroUSA Shipping Inc., Tober Grp. Inc., and Container Innovations Inc. – Possible Violations of Section 10 of the*

*Shipping Act of 1984 and the Commissioner’s Regulations at 46 C.F.R. § 515.27, 31 S.R.R. 545, slip op. at 7 (FMC 2008) (citing Fed. R. Civ. P. 56). “Material facts are those that may affect the [case] outcome.” *LePage v. Reid*, 2018 WL 6069648, at \*2 (N.D. Cal. Nov. 20, 2018) (citing *Anderson v. Liberty Lobby, Inc.*, 477 U.S. 242, 248 (1986)).<sup>3</sup>*

Under the Shipping Act, “reasonable” means “just, proper,” “not immoderate or excessive,” “equitable,” or “fit and appropriate to the end in view.” *Distribution Services, Ltd. v. Trans-Pacific Freight Conference of Japan and Its Member Lines*, 1988 WL 340659 (FMC 1988); *see also Ceres Marine Terminals, Inc. v. Maryland Port Admin.*, 29 S.R.R. 356, 369, 372 (FMC 2001) (same).

### **ARGUMENT**

Respondents cannot avoid Commission review of their unreasonable conduct by relying on specious arguments about jurisdiction or joinder. Nor can Respondents claim other non-regulated entities must shoulder their common carrier obligations.<sup>4</sup>

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<sup>3</sup> Respondents cite caselaw relating to Fed. R. Civ. P. 12. Br. 5. But at the summary decision phase, the Presiding Officer tests the legal sufficiency not of the Complaint, but of the ***undisputed facts in the record***. *See* Fed. R. Civ. P. 56(a). Here, there is no genuine that Respondents restrict MH chassis choice and chassis interoperability, harming the shipping public. *See* Doc. No. 93, IMCC Motion for Summary Decision (Apr. 29, 2022) (“IMCC MSD”).

<sup>4</sup> In support of their motion, Respondents submit a ***third*** “expert” report containing new opinions, based on previously-known information, from a consultant with ongoing business relationships with Respondents that were undisclosed prior to his deposition. Coates Declaration (Apr. 29, 2022) ¶14 (for the first time, evaluating motives and effects of MH incentive provisions in IEP contracts); IMCC Supp. SUMF ¶¶ 2-8 (████████████████████). This filing is out of time and violates the operative scheduling order. *See* Fourth Amended Scheduling Order (Dec. 7, 2021) (expert discovery cutoff deadline: April 1). The late report should be stricken as it contains expert information not previously disclosed. *See* Fed. R. Civ. P. 37(c) (undisclosed expert information forbidden to be used on a motion “unless the failure was substantially justified or is harmless”); *Yeti by Molly v. Deckers Outdoor Corp.*, 259 F.3d 1101, 1106 (9th Cir. 2001) (affirming exclusion of expert) (Rule 37 is strict; it “gives teeth” to Rule 26 “by forbidding . . . any information” that is not properly disclosed). Further, as Respondents have already submitted their new out-of-time expert opinion, conferring with Respondents on this request would be futile. 46 C.F.R. §502.150(b).

**I. The Commission Has Jurisdiction Over All Respondents and Claims.**

The Presiding Officer has already rejected Respondents' jurisdictional claims twice. Doc. No. 17, Order Denying Motion to Dismiss ("MTD Order") at 3-4; Doc. No. 24, Order Denying Interlocutory Appeal ("Appeal Order") at 6 ("There is not a substantial difference of opinion regarding the extent of this jurisdiction"). These recycled arguments should be denied again.

No party contests that the ocean carrier Respondents are common carriers subject to the Commission's jurisdiction. Appeal Order at 6 ("Respondents [] are regulated entities"); *see also* JSF ¶¶ 25, 42, 58, 72, 87, 102, 117, 132, 148, 162, 176. Nor does anyone dispute that OCEMA and CCM are controlled by Respondent ocean carriers, and have filed governing agreements and minutes with the Commission. *Id.* ¶¶ 13, 21. Thus all parties are subject to the Commission's jurisdiction. *Int'l Ass'n of NVOCCs v. Atl. Container Line*, Dkt. No. 81-5, 1990 WL 427461, at \*13 (FMC Feb. 5, 1990) ("The inclusion of the conference is a recognition that the conference tariff is the target of the private complaint or Commission investigation").

The Commission also has jurisdiction over the challenged conduct here, because it is undisputed that the shipping public needs chassis to move containers containing property. IMCC SUMF ¶ 10; 85 Fed. Reg. at 29,655 ("it is undeniable that chassis availability impacts the ability of a shipper or a trucker to remove a container from a port"). And the Shipping Act governs ocean carrier practices that affect "receiving, handling, storing, or delivering property" in containers being transported in connection with common carrier services. 46 U.S.C. §41102(c).

In response, Respondents claim chassis in this matter are beyond the jurisdiction of the Commission because they are only for "the inland domestic movements under merchant haulage," Doc. No. 97, Respondents' Memorandum of Law in Support of Motion for Summary Judgment ("Br.") at 7. But chassis are an integral part of through-transportation for shipments in international maritime commerce, and the Commission's jurisdiction extends to domestic

portions of that through-transportation.<sup>5</sup> *Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, Dkt. No. 09-01, 2011 WL 7144008 at \*7 (FMC Aug. 1, 2011); *see also Norfolk S. Ry. v. James N. Kirby, Pty Ltd.*, 543 U.S. 14, 23-27 (2004). The Commission has repeatedly asserted jurisdiction over ocean carrier practices regarding containers in those movements; practices relating to chassis under those containers are no different. *See* Initial Decision at 22-23, *Hapag-Lloyd, A.G. & Hapag-Lloyd (America) LLC – Possible Violations of 46 U.S.C. 41102(c)*, Dkt. No. 21-09 (ALJ Apr. 22, 2022).

Further, Respondents’ practices are “related to or connected with” the cost of, and access to, chassis necessary to the receipt or delivery of containers under Respondents’ port-to-port and port-to-terminal tariffs (and service contracts), putting burdens on shippers, and their motor carrier agents using those tariffs. The Commission thus has jurisdiction to review that conduct. *See* MTD Order at 4 (“allegations that ocean carriers affect and exert control over chassis availability through their regulations and practices” sufficiently alleges subject-matter jurisdiction); Appeal Order at 5-6 (“there is not a substantial difference of opinion” that the Commission has jurisdiction over claims relating to “regulations and practices regarding the receiving, handling, storing, and delivering of property, subjects specifically regulated by section 41102(c), implemented pursuant to Commission approved agreements, where adverse effects on shippers are alleged”). Here, there is no genuine factual dispute that Respondents’ conduct restricts MH chassis choice and chassis interoperability, causing MH chassis overcharges and depriving the shipping public of the benefits of interoperable chassis pools. *See generally* Doc. No. 93, Complainant’s Motion for Summary Decision (“IMCC MSD”). If the Commission does

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<sup>5</sup> Nor can Respondents claim that registration of chassis with the Federal Motor Carrier Safety Administration divests the Commission’s jurisdiction over ocean carrier practices relating to the delivery of property. Br. 6.

not have the power to review whether these practices are just, reasonable, and consistent with the ocean carriers' common carrier obligations under the Shipping Act, then nobody does.

Nor can Respondents divest the Commission of jurisdiction by pointing to the IEPs. IMCC challenges only **Respondents'** practices restricting MH chassis choice and chassis interoperability. The Commission's jurisdiction extends not only to "agreements between regulated entities [that] implement regulations and practices regarding the receiving, handling, storing, and delivering of property that are shown to violate the Shipping Act," Appeal Order at 6, but also to ocean carrier contracts and practices with non-regulated entities relating to the delivery of property. For example, in *Sea-Land Service*, the Commission rejected an argument similar to Respondents', finding that a contract between regulated and non-regulated entities must still comply with the Shipping Act's "statutory obligations." *Sea-Land Service, Inc. and Gulf of Puerto Rico Lines Inc. – Proposed Rules on Containers*, 21 F.M.C. 1, 4 (FMC 1978). Otherwise, a "common carrier could escape [the Commission's] jurisdiction by the simple device of voluntarily . . . entering into an agreement[.]" *Id.*; see also 85 Fed. Reg. at 29,649 n.176 ("PMSA asserts that the Commission 'probably does not have jurisdiction' to 'mandate wholesale changes that are inconsistent with the UIIA.' . . . PMSA cites no authority for this proposition. To the contrary, ocean carrier demurrage and detention practices and regulations are within the Commission's jurisdiction under section 41102(c)"). And Respondents' own cited authority confirms that contracts between regulated and non-regulated entities may be evaluated by the Commission and struck down. Br. 9 (citing *New York Shipping Ass'n*, 854 F.2d 1338 (affirming Order requiring contract between regulated and non-regulated entities to be renegotiated)).<sup>6</sup>

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<sup>6</sup> Respondents' cases dismissing for lack of jurisdiction are also easily distinguished. See *Crocus Invs. LLC v. Marine Transport Logistics Inc.*, 1 F.M.C.2d 403, 406 (FMC 2019) (no jurisdiction because no international commerce); *Am. Union Transport v. River Plate & Brazil Confs.*, 5

## II. The Undisputed Facts Show that Respondents' Conduct is Excessive and Violates the Shipping Act.

As IMCC has detailed in its motion for summary decision, *see* IMCC MSD, there is no genuine dispute about the basic facts. Respondents have adopted regulations and imposed practices that restrain chassis interoperability and choice for MH container movements. As a result, motor carriers, shippers, and ultimately the American public pay higher prices and suffer inefficiencies in exchange for the ocean carriers' short-term financial gain.

Respondents' cited authority, *Distribution Services*, is on all fours here. Br. 12. There, the Commission struck down an ocean carrier conference rule controlling reimbursement of "transshipment" services, which governed the transfer of cargo from an ocean container to an inland container at an off-port location. This rule incentivized minimizing the transportation of empty ocean carrier containers back to port, shifting the cost of transporting empty containers elsewhere. *Distribution Services*, 1988 WL 340659, at \*2. Although minimizing the transportation of empty ocean containers and preventing false billing for transloading expenses were "worthy objective[s]," the Commission found the ocean carriers' regulations to be

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FMB 216, 224 (FMB 1957) (no jurisdiction over transportation between foreign ports); *Austasia Intermodal Lines v. FMC*, 580 F.2d 642, 646 (D.C. Cir. 1978) (same); *River Parishes Co. v. Ormet Primary Aluminum Corp.*, 28 S.R.R. 188, 201 (ALJ 1998), *aff'd* 28 S.R.R. 751 (FMC 1999) (Respondent's choice of counterparty was not "something akin to a monopoly." In contrast here, ocean carriers have unreasonably restrained MH chassis choice and chassis interoperability in exchange for financial gain); *Boston Shipping Ass'n v. FMC*, 706 F.2d 1231, 1239 (1st Cir. 1983) (vacating Order because violation could "be remedied without altering in any way the manner of imposing the costs on customers of the shipping industry." Here, IMCC seeks an order **preventing** harm to the shipping public); *McKenna Trucking Co. v. A.P. Moller-Maersk Line and Maersk Inc.*, 27 S.R.R. 1045, 1058 (ALJ 1997); Administratively Final: June 23, 1997 (case did **not** hold that the Commission "lacks authority to regulate relationships between ocean carriers and unregulated members of the industry, i.e. motor carriers, even when there are allegations of unlawful, prejudicial and discriminatory conduct under the Shipping Act." Br. 9-10. Rather the specific facts did not create a "sufficient nexus" with "an effect upon the shipping public," unlike here (citation omitted)).

“excessive and thus unreasonable”—because “less intrusive methods” existed to accomplish those goals. *Id.* at \*7. The same holding applies here.

Respondents attempt to evade the holdings of *Distribution Services* by claiming they have no duty to “enhance the efficiency of other parties or the supply chain generally.” Br. 9 n.4. This is misdirection. IMCC does not argue that Respondents have an affirmative obligation to maximize supply chain efficiency for all parties. Nor does IMCC claim that ocean carriers may never profit maximize using their own “business discretion.” Br. 14-15. Rather, the Shipping Act imposes on regulated carriers a duty that they may not adopt unjust or unreasonable practices “relating to or connected with” the receipt and delivery of property. 46 U.S.C. §41102(c). In other words, ocean carriers may not engage in conduct that is “more restrictive than necessary” for the “end in view” or another “worthy objective,” *Distribution Services*, 1988 WL 340659, at \*7. IMCC does not seek for the Commission to micromanage the daily business decisions of the Respondents, “just that the commercial environment [not be] hampered by unreasonable or unjustly discriminatory practices.” *Ceres Marine Terminals*, 29 S.R.R. at 372. Thus, as Respondents’ own cases show, although the Commission defers to a firm’s business decisions, such as the choice of counterparty, section 44102(c) explicitly means that for regulated carriers this discretion is not unfettered.<sup>7</sup>

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<sup>7</sup> *Seacon Terminals, Inc. v. Port of Seattle*, 26 S.R.R. 886, 899 (FMC 1993) (“refusal to deal” case where Port chose to lease to competitor of Complainant; in contrast here, IMCC does not challenge with whom Respondents choose to deal); *Maier Terminals, LLC v. Port Authority of New York & New Jersey*, 33 S.R.R. 821 (FMC 2014) (concerning individual practices between Respondent, Complainant and competitor of Complainant, unlike here. IMCC does not seek the Commission to micromanage IEP-ocean carrier relationships, but rather to enjoin specific practices and agreements that restrict MH chassis choice and chassis interoperability. Further, reasonableness does not relate to the amount of IEP daily rental rates, but rather curtailing of choice and interoperability that burden motor carriers and their customers); *Ceres Marine Terminals*, 29 S.R.R. at 372 (unjust discrimination case with respect to complainant and competitor; not the case here).

Further, Respondents contend the proper “end in view” is for ocean carriers “to meet the needs of their respective customers moving shipments on CH and MH terms.” Br. 13 (emphasis in original). But the Respondents’ actual practices in the United States directly contradict this assertion. Most significantly, under Respondents’ port-to-port and port-to-terminal tariffs, the ocean carrier’s “customer, such as a BCO or NVOCC is responsible for arranging for and obtaining motor carrier transportation between the port and the customer’s location. With respect to motor carrier transportation, this responsibility includes the responsibility for obtaining chassis.” JSF ¶¶ 30, 47, 63, 92, 107, 138, 152, 168, 181; *cf. also id.* ¶¶ 78, 122.

Because ***motor carriers and their customers***, not the Respondents, have the duty and responsibility for chassis supply in MH movements, the proper “end in view” for this case for ocean carriers is to secure sufficient chassis ***only*** for CH movements. *Id.*; *see also, e.g.*, IMCC Supp. SUMF ¶¶ 21-25 (tariff provisions establishing that motor carriers and their customers have responsibility for securing chassis in MH movements).

**A. CCMP Operations Manual Rules Unreasonably Restrict Chassis Choice.**

Respondents do not dispute how the CCMP Operations Manual Rules work. CCM Pools offer a “Choice Program” using a “choice by exception” model, IMCC SUMF ¶ 73, under which every ocean carrier is both permitted and presumed to assign both CH and MH chassis usage to its “default” IEP with which it has a contractual relationship. *Id.* ¶¶ 76, 79, 86. Thus, for MH movements, current Rule 5.5 permits the ocean carrier to require that a motor carrier or BCO must use that default IEP. *Id.* ¶¶ 79, 84. Current Rule 5.7 permits, but does not require, the ocean carrier to allow the motor carrier or BCO to request an exception in favor of an alternative IEP in the pool. *Id.* ¶¶ 80, 82. Thus the Rules give ocean carriers a final veto right over MH chassis choice.

Respondent ocean carrier policies differ significantly with respect to allowing MH chassis choice, reflecting the discretion granted to ocean carriers and their IEPs by the Rules. Some, like CMA-CGM and COSCO currently allow choice without the need for approval, *id.* ¶ 87, while others including [REDACTED], [REDACTED], [REDACTED] and [REDACTED], claim to always (or nearly always) grant a request for an exception. *Id.* ¶¶ [REDACTED] [REDACTED]. Others, such as [REDACTED], and [REDACTED], sometimes allow choice while other times reject or significantly delay permission for an exception. *Id.* ¶¶ [REDACTED]. And some ocean carriers, such as [REDACTED], [REDACTED], and [REDACTED], always (or nearly always) reject motor carrier requests for an exception or disclaim choice altogether. *Id.* ¶¶ [REDACTED] [REDACTED]. As Respondents concede, the Operations Manual “was intended to facilitate the ability of *individual ocean carriers to decide* how best to permit and manage choice in CCM pools.” Br. 16 (emphasis added). Consequently, the rules empower ocean carriers to restrain competition for MH chassis and to increase costs to motor carriers and BCOs. See MTD Order at 7 (claims that “Respondents’ conduct restricts chassis competition” and “overcharge motor carriers for chassis on merchant haulage” are sufficient to “allege a violation of the Shipping Act.”).

Here CCM’s “Choice Program” is more restrictive than necessary precisely because it places the final decision of MH chassis in the hands of an ocean carrier and/or its designated IEP, rather than the motor carrier or BCO that is responsible for arranging and paying for the chassis. Maximizing the financial gain of the ocean carriers from lower CH prices without regard to the externalized costs to the supply chain that result from the lack of chassis choice is not a “worthy objective” for a common carrier in assessing the reasonableness of its practice. See IMCC MSD

There is also no genuine dispute that Respondent ocean carriers agree to contract terms that trade lower ocean carrier CH rates in exchange for terms and practices that enhance the IEPs' pricing power and their ability to obtain higher MH rates and reduced MH competition.

IMCC SUMF ¶¶ 395 ( [REDACTED] ), 497

(summarizing contract provisions); *id.* ¶¶ [REDACTED]

[REDACTED]

[REDACTED]. [REDACTED] and [REDACTED] are no different, but instead of their designated IEPs collecting overcharges resulting from restrained MH chassis competition, Evergreen and MSC keep those revenues for themselves. *Id.* ¶ [REDACTED]

[REDACTED].

Tellingly, the contracts award **lower** CH pricing for **lower** CH volume. Thus, the linkages are the **opposite** of “volume discounts” by which one typically receives a lower price in exchange for more volume. As a result, the contracts are not volume discounts, but rather cross-subsidization: ocean carriers fund undercharges for CH chassis using the overcharges for MH chassis.<sup>8</sup> CCM’s CEO (and former Hamburg Sud official) Mike Wilson articulates this point: “

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██████████. *Id.* ¶¶ ██████████.<sup>10</sup> A similar term exists in its contract with ██████████ for ██████████  
 ██████████ area. *Id.* ¶¶ ██████████.

These linkages only serve the business objectives of ocean carriers, who receive the benefit of lower CH prices (or direct payments) from their IEPs' provision of higher price MH chassis. Ocean carriers expressly understand this dynamic. *E.g., id.* ¶¶ ██████████  
 ██████████  
 ██████████.

Respondents attempt to evade this reality by claiming there is no evidence that Respondent ocean carriers “acted upon” these contractual incentives to increase their volumes of MH movements. Br. 22. But this reasoning is wrong on the facts and the law. First, record evidence shows that Respondents did act on these provisions because their CH rates are inextricably linked to MH volume. IMCC SUMF ¶¶ ██████████; IMCC Supp. SUMF ¶ 11-12. Second, Respondents' argument fails because, even if it were true, then such provisions are unnecessary (and thus excessive) and should be removed.

As a result, contractual provisions linking CH prices and MH volumes are unreasonable. They burden shippers using Respondents' port-to-port/inland rates, inflate MH chassis rates, and create unnecessary supply chain inefficiencies; and are not “tailored to meet” any legitimate purpose. IMCC MSD 20-21.

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<sup>10</sup> Whether ██████████ ever received such payments, this provision reflects the wider contracting dynamic that ██████████ steers MH volume to ██████████, including by restricting choice away from ██████████ competitors, in exchange for direct financial benefits for ██████████. Thus, the provision goes beyond what is necessary to secure chassis.

**C. Ocean Carriers’ Designations of an IEP for MH Movements are Unreasonable.**

IMCC’s motion for summary decision also explains how ocean carriers steer MH chassis usage to their preferred IEP by designating that IEP for MH movements. IMCC MSD 22. Ocean carriers do so because they receive better terms, including for CH chassis pricing, for IEPs in return. *Id.* This steering is unreasonable because it interferes with the free choice of a motor carrier (or its customer) in selecting an MH chassis. The actions of ocean carrier Respondents that permit chassis choice in CCM pools demonstrate that a designation of an MH chassis provider is not necessary to ensure a sufficient supply of CH chassis, and the designations exist solely for the ocean carriers’ financial self-interest. *Id.*

Ordinary course documents demonstrate that Respondents recognize that designations of IEPs for MH movements are unjust and unreasonable. In a confidential memorandum produced in discovery, CCM’s CEO described motor carriers operating under ocean carriers’ designation of an IEP for MH movements as “[REDACTED].” IMCC Supp. SUMF ¶¶ 9-10. And he suggested a solution: [REDACTED]

[REDACTED]

*Id.* That “[REDACTED]” and competition describes what IMCC seeks through this proceeding.

Accordingly, ocean carrier designations of IEPs for MH movements go “beyond what is necessary” to ensure the supply chain has sufficient MH chassis, and thus violate the Shipping Act. *Distribution Services*, 1988 WL 340659, at \*7.





*denying choice to motor carriers.*” Br. 20. But the Shipping Act does not contain an intent element. 46 U.S.C. § 41102(c). Regardless, the undisputed facts reveal that the purpose of the withdrawals was much simpler—for the ocean carriers’ financial benefit. IMCC MSD 24-25; IMCC SUMF ¶ 627 (Respondents’ expert [REDACTED])

[REDACTED]). The *effect* of these withdrawals was to deny choice and interoperability—unjust and unreasonable outcomes that harm motor carriers and the supply chain. IMCC MSD 24-25. For example, these practices impose increased flip charges, chassis splits, detention/demurrage charges, and wait times, all of which reduce motor carrier productivity at a time of driver scarcity. IMCC SUMF ¶¶ 618, 669-70. And the harms from non-interoperability emanate into the supply chain, slowing the fluidity of a terminal by creating unnecessary chokepoints and increasing terminal wait time. *Id.* A similar dynamic occurs at rail yards, as a lack of interoperability can slow the time it takes to unload a rail car. IMCC SUMF ¶¶ 616, 618, 671-72. And when chassis are noninteroperable, there are increased repositioning costs to ensure the “right” chassis is in the “right” place. *Id.* ¶¶ 616, 618, 663-65.

Respondents also claim that IMCC pursues “in effect” an order that “ocean carrier Respondents may only do business with an IEP which provides chassis through an interoperable pool and offers Choice to motor carriers.” See Br. 21. Not so. IMCC does not seek injunctive relief mandating resurrection of the COCP (or of other former pools), and there may be situations in which a non-interoperable pool that does not offer MH chassis choice may be just and reasonable. Rather, the question is whether ocean carriers’ *ongoing* withdrawals from *existing* interoperable pools with choice, such as the MCCP, are unreasonable. This record of undisputed facts clearly demonstrates that [REDACTED] entered into contracts to be served

by proprietary pools instead of interoperable pools, which caused harm to the shipping public by depriving them of the benefits of interoperability. Such effects are felt, and will continue to be felt, from ongoing withdrawals.

Respondents have a duty beyond financial maximization alone; they “may not fail to establish, observe, and enforce just and reasonable regulations and practices” relating to the movement of property. 46 U.S.C. § 41102(c). Under that standard, ongoing withdrawals that deprive the supply chain of the benefits of interoperability are unjust and unreasonable.

**E. Ocean Carriers’ Participation in the Pool of Pools While it Denies MH Chassis Choice is Unjust and Unreasonable.**

There is also no factual dispute that [REDACTED] participates in the POP, and that five years after the IEPs promised, the POP still does not allow chassis choice in MH movements. IMCC SUMF ¶50 ([REDACTED]); [REDACTED]

[REDACTED]. As IMCC has explained in its motion, the effect of this is to restrain MH price competition, forcing motor carriers and their shipper customers to pay higher MH chassis charges. IMCC MSD 25.

As a result, [REDACTED] continued participation, amendment, extension, or renewal with respect to IEP contracts for the POP while it restricts MH chassis choice goes “beyond what is necessary” to obtain chassis for CH movements and thus violates the Shipping Act. *Distribution Services*, 1988 WL 340659, at \*7.

**F. The Challenged Conduct Harms Motor Carriers and the Shipping Public.**

Respondents do not contest that motor carriers and their customers pay MH chassis overcharges. Nor can they—the factual record is unambiguous. IMCC SUMF ¶¶ [REDACTED], 521, 525-36, 540. These higher rates unjustly and unreasonably disadvantage motor

carriers and their customers obtaining ocean transportation under the ocean carriers’ port-to-port and inland transportation tariffs and service contracts. IMCC MSD 26-28. Because of this burdening of MH shippers, Respondents’ practices violate the Shipping Act.

Respondents avoid the question of harm by claiming (1) that the Complaint’s calculation of \$1.8 billion is flawed, and (2) that motor carriers pass on the overcharges to its customers. Br. 23-25. But these attempts at distraction are of no relevance. First, IMCC seeks only cease-and-desist relief, and so the Presiding Officer need not resolve any factual disputes as to the amount of damages. Regardless, Respondents only contest the Complaint’s initial estimate, and notably do **not** challenge the analysis by IMCC’s economic expert, Dr. Langenfeld, of harm to motor carriers. See IMCC Supp. SUMF ¶¶ 14-16. Second, it is uncontested that **some** truckers pass on **some** overcharges to their customers. *E.g.*, IMCC Supp. SUMF ¶ 18 ( [REDACTED] ). But to the extent motor carriers pass on overcharges, then the shipping public is **harmed more, not less**. IMCC MSD 28. Further, the Commission does not recognize a “pass-on” defense, and so the question is entirely immaterial because it does not “affect the [case] outcome.” *Anderson*, 477 U.S. at 248.

Respondents further assert that “IMCC has failed to demonstrate any harm to the shipping public, other than through conjecture and supposition.” Br. 25.<sup>12</sup> But the undisputed facts tell a different story, including that motor carriers and their customers pay overcharges for MH chassis. *Supra*. Nor can Respondents justify the harm to MH shippers by arguing that it is balanced out by “the benefit of the highly competitive CH market to transport users.” Br. 26. In fact, it is precisely this disparity—burdening MH movement customers with overcharges in

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<sup>12</sup> One wonders how Respondents can both argue that motor carriers pass on higher overcharges to their customers, and then that those customers suffer no “economic harm,” *id.*

exchange for the ocean carriers’ financial self-interest in lower CH prices or direct payments—that makes the conduct unreasonable.<sup>13</sup> Further, Respondents’ conduct has deprived the shipping public of the benefits of interoperability. IMCC MSD 22-23. These harms include fragmentation of stop/start locations (IMCC SUMF ¶¶ 612, 624, 642, 657) and the need for more chassis (*id.* ¶¶ 666-68), as well as increased chassis splits and flips (*id.* ¶¶ 56, 616, 618, 658-59, 662, 671-72, 699), greater demurrage and detention charges (*id.* ¶¶ 618, 660-61), longer terminal wait times (*id.* ¶¶ 662, 699-700), increased repositioning requirements (*id.* ¶¶ 616, 618, 663-65), delays causing greater motor carrier and rail inefficiency (*id.* ¶¶ 616, 618, 669-72), and requiring increased BCO inventory (*id.* ¶¶ 616, 618, 673-74).

**G. Evergreen’s Business Model Does Not Absolve Its Harms to the Shipping Public.**

Evergreen “fully adopts and joins in” Respondents’ motion, but moves separately for summary decision based on asserted differences in its business model. Evergreen MSD 4. But any such differences ignore the central fact: Evergreen’s “business model” still harms motor carriers and the shipping public. The only distinction is that Evergreen negotiates contracts to designate a single IEP to provide chassis for *all* movements in a region, including carrier haulage (“CH”) and MH. JSF ¶¶ 63-66. But Evergreen does not provide MH chassis “free of charge.” Doc. No. 101, Evergreen’s Supplemental Motion for Summary Judgment (“EVG Br.”) 6-7. Rather, in both CH and MH movements, Evergreen imposes [REDACTED]

[REDACTED]

[REDACTED]. IMCC Supp. SUMF ¶¶ 19-

<sup>13</sup> There is no factual record to support the conjecture that ocean carriers pass on these benefits to CH customers instead of keeping those gains for themselves. But even if ocean carriers did pass through these benefits, the cross-subsidization *would still be unreasonable* because it burdens MH customers operating under ocean carriers’ port-to-port and -inland terminal tariffs.

20. These [REDACTED] are higher than the daily rental charges that Evergreen pays to its IEPs for chassis. IMCC SUMF ¶ 95. Because it [REDACTED], Evergreen negotiates for financial incentives based on [REDACTED]. *Id.* ¶¶ 208-38. While this “model” brings financial benefits to Evergreen, it is every bit as harmful to MH carriage as the other Respondents’ models because it denies motor carriers chassis choice in MH movements, and thus restricts the ability of motor carriers to switch away from these chassis per diems. *Id.* ¶¶ 96-98.

Evergreen cannot obscure these undisputed facts with lawyer-made hypotheticals. Br. 6-7. There, Evergreen conveniently ignores that it imposes [REDACTED] [REDACTED] when the motor carrier cannot exercise MH chassis choice. Evergreen’s claim of so-called “free days” is a fallacy, since it still [REDACTED] [REDACTED]. IMCC Supp. SUMF ¶¶ 19-20. And when the total cost is considered ([REDACTED] [REDACTED]), the customer is paying more to Evergreen than it would otherwise pay if Evergreen allowed motor carrier chassis choice.

As a result, Evergreen’s contractual restrictions on motor carrier chassis choice violate the Shipping Act. They are excessive and not “tailored to meet its intended purpose” of securing chassis for Evergreen CH movements. 85 Fed. Reg. at 29,651.

### **III. The IEPs are Not Necessary Parties and the Presiding Officer Can Tailor Relief at the Initial Decision Stage.**

Respondents cannot get a free pass by contracting with the IEPs. As the Commission has long held, a common carrier cannot “escape our jurisdiction by the simple device of voluntarily . . . entering into an agreement which obligates the common carrier to take actions which may be or are in clear violation of the Shipping Act.” *Sea-Land Service*, 21 F.M.C. at 4.

Regardless, the IEPs are not necessary parties for this litigation. Although ordinary contract law *often* may require all counterparties to be present, this is not an ordinary contract case. *Only* the FMC, and not another court, can determine whether the challenged provisions comply with the ocean carrier’s Shipping Act obligations. MTD Order at 6 (“no other venue would be able to adjudicate” IMCC’s claims). Thus, the IEPs are not “necessary” in the same manner because there is no risk of “inconsistent rulings.” *NRDC v. Kempthorne*, 539 F. Supp. 2d 1155, 1183-85 (E.D. Cal. 2008). And further, the Presiding Officer and Commission can accord complete relief with respect to contracts between regulated and unregulated entities by giving ocean carriers “a reasonable amount of time to conform their [] arrangements with the requirements of the Shipping laws[.]” “*50 Mile Container Rules*,” 1987 WL 209053, at \*4, *aff’d*, *New York Shipping Ass’n*, 854 F.2d 1338. *See also* 85 Fed. Reg. at 29,649 n.176 (“PMSA asserts that the Commission ‘probably does not have jurisdiction’ to ‘mandate wholesale changes that are inconsistent with the UIIA.’ . . . PMSA cites no authority for this proposition.”). Nor would this tailored relief be onerous. Many of the ocean carrier contracts at issue contain [REDACTED]

[REDACTED]. IMCC Supp. SUMF ¶¶ 26-56 ([REDACTED]).<sup>14</sup>

The Respondents also cannot argue that the IEPs are having their rights adjudicated without their input. In fact, the IEPs have voluntarily submitted affidavits *to Respondents’ motion*. Respondents’ SUMF APP0398-0403 (IEP Declarations). And the ocean carriers are defending the legality of those very contract provisions and therefore are “adequately represent[ing] the absent [IEPs’] interests.” *NRDC*, 539 F. Supp. 2d at 1187. Regardless, the

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<sup>14</sup> [REDACTED]

IEPs are not ignorant of the proceedings; they could have requested intervention but have chosen not to. *See* Order on Motion to Compel (June 1, 2021) (respecting IEPs’ non-party status by limiting discovery).

Respondents’ sole cited authority is of no moment here. Br. 29 (citing *NRDC*, 539 F. Supp. 2d 1185). There, the court reiterated that ***in general*** all parties to a contract must be named as parties to enjoin it. 539 F. Supp. 3d at 1191. But that ordinary rule does not apply here because ***only*** the Commission can evaluate whether a contract complies with an ocean carrier’s Shipping Act obligations. As a result, the Commission has expressed no hesitation with issuing cease-and-desist relief ordering that contracts between regulated and non-regulated entities be renegotiated to comply with the Shipping Act. *See* “50 Mile Container Rules”, 1987 WL 209053, at \*4; *Sea-Land Service*, 21 F.M.C. at 4.

As a result, dismissing the action for failure to join the IEPs would be inappropriate.

### **CONCLUSION**

IMCC respectfully requests that Respondents’ motions for summary decision be denied.

**DATED:** December 19, 2022

Respectfully submitted,

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## **CERTIFICATE OF SERVICE**

I certify that, on December 19, 2022, a true and correct copy of the foregoing Response to Respondents' Motions for Summary Decision (Corrected Public Version) was filed via electronic mail with the Federal Maritime Commission, and a copy was served via electronic mail on the following counsel:

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